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Drift: The Hidden Leak in Logistics Margin and Capacity

Why \$15 billion a year disappears from trucking without a single theft. Without a single suspect. Without a single alarm. And what it actually takes to see it happening.

If \$15 billion vanished from trucking because of fraud, it would be a national scandal. Instead it disappears every year through uncollected detention alone. No theft. No suspect. No headline. This paper explains why, and what it actually takes to catch it.

The problem nobody budgets for

ATRI puts the number at \$15.1 billion a year, lost to unpaid or under-collected detention alone. 94.5% of carriers bill for it. Fewer than half ever get paid. That's not a footnote. That's a number big enough to be a national story, if it showed up any other way.

It doesn't show up as a heist. It shows up as thirty cents here. A dollar there. Spread across millions of loads, thousands of carriers, every broker and shipper in between. No single transaction ever gets big enough to trigger an audit, a lawsuit, or even a raised eyebrow. The loss is real. It's just too spread out for anyone to see it happen.

You can't arrest a rounding error. But a rounding error, repeated a billion times a year, is still fifteen billion dollars.

One law underneath all of it

Every layer of the supply chain runs on a promise about something physical or financial. A rate. A tender. An appointment. An invoice. That promise always gets made before anyone knows if it'll hold. A rate gets quoted before a carrier's even booked. An appointment gets set before the truck shows up. An invoice goes out before the cash comes in.

The gap between the promise and what actually happens is where the money leaks. We call that gap Drift. It isn't one company's problem, or one mode's problem. It's what happens any time a business runs on promises about the physical world, made before anyone knows if the world's going to cooperate.

And that gap doesn't cost the same at every point. Catch a mistake early, on a purchase order or a quote, and it's cheap to fix. Nothing's moved yet. Catch the same mistake late, after a truck's burned fuel and hours, after cash has already left an account, and it's expensive. Real things already happened because of it. Most companies govern this backwards. Heavy scrutiny on the cheap stuff, like PO approvals. Almost none on the expensive stuff, like releasing payment.

Four ingredients, three models

Cleo built this next part. Any transaction moving through a supply chain can only ever be judged on four things: Value (is the money there), Disposition (what state is it in), Volume (how much), and Time (how long, or when). Pair those four up honestly and you get exactly three models. Not one blended number. Three, developed and named by Cleo:

- **Margin Drift** (Value X Disposition). Is the money there, and what state is it in. The gap between what got quoted and what actually got collected.
- **Utilization Drift** (Volume X Time). How much capacity, sitting idle, for how long. A truck's empty hours. A warehouse slot's idle days. A broker's cash stuck financing a payment gap. Same shape, three different units.
- **Capture Drift** (Volume X Disposition). Did the opportunity even get touched. No dollar attached, no clock running. A tender either got answered or it didn't.

WHY THESE STAY SEPARATE

Convoy and Uber Freight both chased volume hard. Network reach, tender capture, growth everybody could see and cheer for. Margin died quietly underneath the whole time, because nobody was watching it as closely as they were watching growth. Blend Capture Drift, Utilization Drift, and Margin Drift into one comforting total and you've built the same trap. A tool that shows one healthy number while the business dies underneath it. These three get reported side by side. Never summed.

One shape, three business models

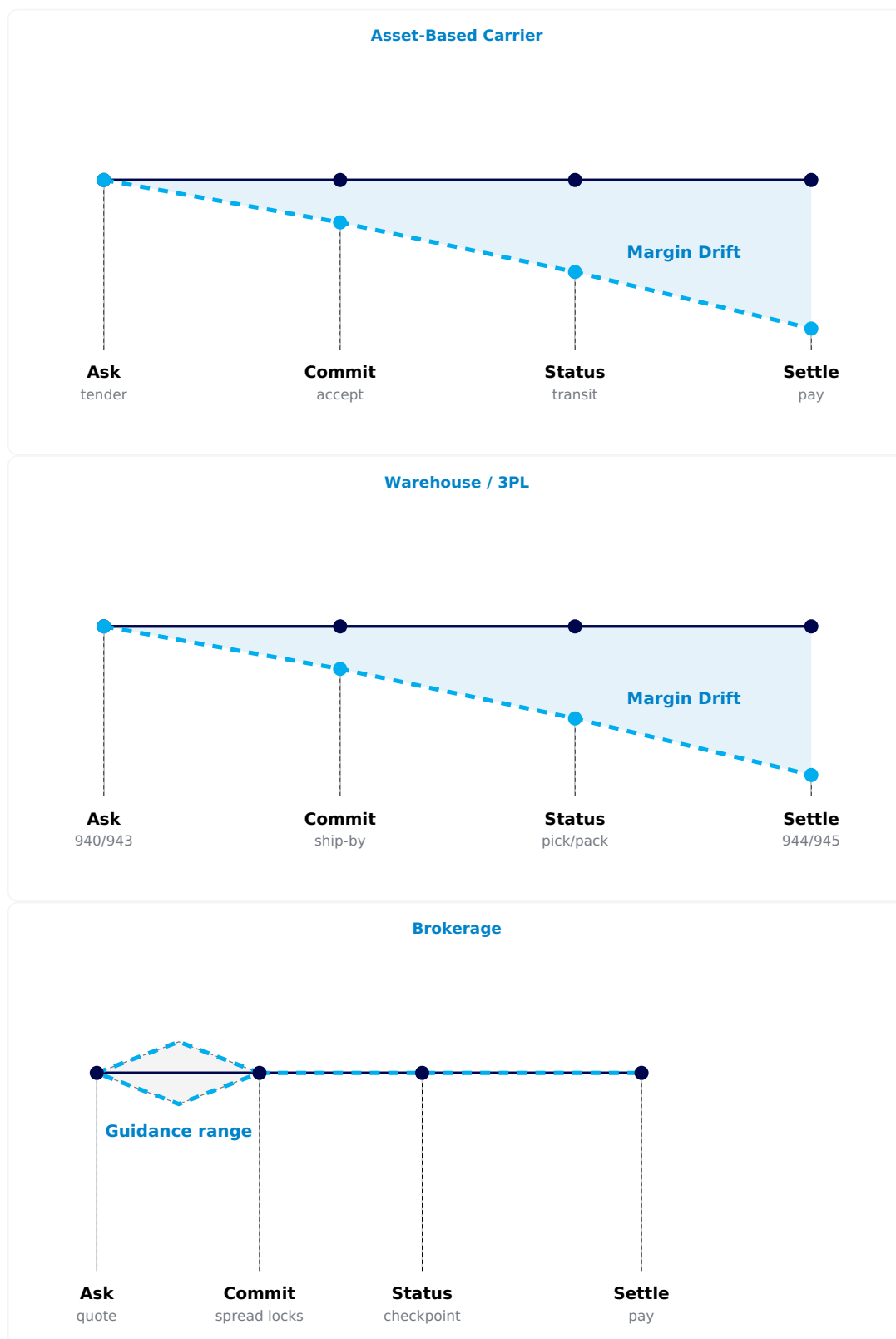
Every transaction in logistics runs through the same four stages: Ask, Commitment, Status, Settlement. Doesn't matter who's running the business. What changes is what each stage actually means.

	Asset-Based Carrier	Warehouse / 3PL	Brokerage
Ask	Tender, load offered by shipper or broker	ASN sent, 940 outbound or 943 inbound	Shipper tenders the broker
Commitment	Accept and book, carrier commits to the tender	Ship-by promise, pick-wave commitment or dock appointment	Broker accepts the tender, spread locks when a carrier is sourced
Status	In transit, subject to dwell and detention	Pick, pack, stage, load, or receiving	Carrier-data checkpoint to trigger close-out
Settlement	Pay	Ship or receipt confirmed, 945 or 944	Forks: carrier paid fast, shipper pays slow. That gap is the float.
Currency	Dollars of margin	Dollars of margin	Dollars of margin

Margin Drift's shape follows one thing: who owns the capacity. A carrier owns the truck. A warehouse owns the building. Both know their cost base before they ever quote a load, so their margin erodes slow and steady, stage by stage, as real life chips away at the plan. A slope, not a range.

A brokerage owns nothing. It prices a rate to a shipper before it even knows what a carrier's going to cost. That makes its margin a real, two-sided range the moment it

books a load. Not a slope. A band. Wider when the market's wild, tighter when it's calm, but always a band.



Why brokerage is structurally different

A brokerage has no currency of its own. It sells the connection and the paperwork for a sliver of the value created matching a shipper's freight to a carrier's truck. That's closer to how a manufacturer works than how an asset owner works. Buy an input, add value, sell a finished good. Which means a broker's margin takes fire from two sides at once. The buy side, what a carrier actually costs, a mystery until it's booked. And the sell side, what a shipper will actually pay, capped by whatever spot rate they can see for themselves.

That's why the freight cycle matters so much to a broker specifically, more than it matters to anyone else in the chain. Right now, tender rejections sit around 14% nationally. Highest since mid-2022. And the spot-contract gap that used to give a broker room to breathe has closed almost entirely. Dry van spot and contract are running dead even, both around \$2.39 a mile linehaul, the first time that's happened since early 2022. Reefer's tipped further. Spot's running ahead of contract there. Flatbed's the one holdout, contract still a little ahead. A broker who quoted a shipper off contract expectations, then gets rejected into spot to actually cover a van or reefer load, isn't just eating a gap anymore. There's no gap left to hide the miss in.

There's a regulatory angle here too, and it's worth saying plainly. A broker's margin depends on a spread neither side can see. That's the exact mechanism that got banned in mortgages. The yield spread premium let a mortgage broker profit off steering a borrower into a worse rate than they qualified for. The Fed killed it in 2010 and 2011. The CFPB made it official in 2013. Same reason both times: it paid the broker to work against the customer. FMCSA's own broker transparency rule, requiring electronic records and carrier access within 48 hours, is sitting at the White House for review right now, submitted August 27, 2026. Same stated reason. Information asymmetry.

Real numbers, not estimates

If there's a real, sourced number, it goes in as the default. Not a guess. Where there isn't one, we say so. Plainly.

Metric	Benchmark	Source
Deadhead / dead miles	16.5% of miles, non-tank segment	ATRI, 2026
Detention free-time threshold	2 hours, industry standard	Consistent across industry sources
Detention rate	\$25 to \$100/hr standard, up to \$125 to \$150/hr specialized	Multiple 2026 industry sources
Detention billed vs. collected	94.5% of carriers bill it, fewer than 50% collect	ATRI
Annual industry loss, detention	~\$15.1 billion	ATRI
TONU fee	\$150 to \$300 standard, \$250 most common, up to \$500+ specialized	Multiple 2026 industry sources
QuickPay discount	1.5% to 3% of invoice, paid in 1-7 days vs. standard net 30-45	FreightWaves, broker rate comparisons
Factoring discount	2% to 5%, most carriers 2% to 3.5%, funded in 24-48 hours	FreightWaves, industry factoring guides
Current OTRI (national)	~14%, highest since mid-2022	FreightWaves SONAR, Sept 2026
Dry van spot vs. contract (linehaul)	Dead even, both ~\$2.39/mile, first time since early 2022	DAT Freight & Analytics, July 2026
Reefer spot vs. contract (linehaul)	Spot ~\$0.13/mile ahead of contract	DAT Freight & Analytics, July 2026
Flatbed spot vs. contract (linehaul)	Contract ~\$0.19/mile ahead of spot	DAT Freight & Analytics, July 2026

Ask-stage opportunity cost of a missed tender	No benchmark exists	Genuine gap
Admin/dispute cost per detention claim	No benchmark exists	Genuine gap

Try it: two simple calculators, side by side

Same idea both times. A quoted number going in, two checkboxes chipping away at it, a bar that shows the margin shrinking as you check them. Each hit, about \$33 on average. Check both, you lose both.

Two checkboxes on the warehouse side need a quick word, because they're not the same thing as detention, and that's the whole point.

Accessorial dispute is the warehouse's version of a carrier's detention fight. Extra dwell, extra labor, a storage overage, billed to the client and then reduced or rejected once it hits reconciliation. Same mechanism as detention, dollar for dollar. Different fee, same fight.

Non-nettable delay is a different animal entirely, and it's the one nobody else's calculator has, because it's not a dispute at all. Goods can be physically sitting on the dock, fully arrived, and still not count as sellable inventory until someone confirms them in. Damaged, on hold for inspection, waiting on a receipt confirmation that hasn't posted yet. During that window, it's real inventory that can't be promised to anyone. Most of the time it resolves and the delay costs nothing but time. Sometimes it doesn't resolve, and that slice never comes back. Leaving it out of the calculator would hide the one leak that's specific to a warehouse and nobody else in the chain.

ASSET-BASED CARRIER

Miles

Rate per mile (\$)

☐ Detention

☐ AR processing error

Loads per year: 1

Quoted rate (per load)	\$1250
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Margin hit (per load)	\$0
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Best-case margin (per load)	\$1250
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Quoted, annual	\$1250
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Margin, annual	\$1250
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WAREHOUSE / 3PL

Slots / dock doors

Daily rate per slot (\$)

☐ Accessorial dispute

☐ Non-nettable delay

Jobs per year: 1 (a job = one full pick, pack, and ship)

Quoted rate (per day)	\$2000
Margin hit (per day)	\$0
Best-case margin (per day)	\$2000
Quoted, annual	\$2000
Margin, annual	\$2000

Why this requires a system, not a quarterly audit

\$15 billion in detention alone disappears without a suspect for the same reason salami-slicing fraud is nearly impossible to recover. Spread the loss across enough transactions and enough counterparties, and no single instance is ever big enough to investigate. By the time the total is visible, the money's already dissolved into normal operations. No threshold ever trips. Eventually, there's no thread left to pull.

Catching it means watching every transaction as it happens. Not after the fact. Not sampled. This is governance, in the actual IT-governance sense. A system of checks and balances that assesses whether things are working, separate from management, which is the decisions people make to actually fix things.

And here's the part that rules out doing this by hand. These signals are small, and there are millions of them a year, moving across thousands of counterparties, all at once. No team of people can watch that many threads and still catch the pattern connecting them. Correlating signals this numerous and this subtle takes an AI-Native Supply Chain Orchestration Platform. Built to sit across the whole transaction stream, not one company's slice of it, and catch what no single team ever could.

That's what Cleo does. Cleo detects the gap. Cleo suggests what to do about it. And where your own policies say it's safe to act, Cleo acts, inside the boundaries you set. Detect, suggest, act, in that order, and never a step further than you've told it to go.

Get your own numbers

Everything in this paper runs on industry benchmarks. Real ones, sourced, not guessed at. But your business isn't the industry average, and the whole point of Drift is that it's specific to you.

Reply to the post this paper came from and I'll send you the link myself, full library of calculators, same referenceable, defensible benchmarks as this one, ready to tell you about your leakage. Not the industry's. Yours.

One more thing, and I mean this half as a joke and half completely seriously. I also wrote this same paper for a college freshman who just declared supply chain, and for a fourth grader, lemonade stand and all. Same framework, same numbers underneath, completely different language. If you can explain a thing at every single reading level and it still holds up, you actually understand it. Reply and I'll send you all three.

Fifteen billion dollars a year isn't a mystery, and it isn't theft. It's thousands of small, honest gaps between a promise and what actually happened. Each one too small to

notice. All of them adding up to a number too big to ignore. The fix isn't a bigger audit. It's watching the promise and the reality at the same time, every time, before the gap disappears into everything around it.

... never stops

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